



SAP's Strategic Restructuring Plans to Focus on Business AI

Case Study

This case was written by **Meenu Bhatnagar** and reviewed by **K. Bhagyalakshmi**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

© 2024, Amity Research Centers Headquarter, Bangalore.

Website: www.amity.edu/casestudies/

No part of this publication may be copied, stored, transmitted, reproduced or distributed in any form or medium whatsoever without the permission of the copyright owner.



Author: Meenu Bhatnagar

SAP's Strategic Restructuring Plans to Focus on Business AI

Case Study

*"With the planned transformation programme, we are increasingly shifting investments to strategic growth areas, primarily AI...This will allow us to continue to develop pioneering innovations in the future and improve the efficiency of our business processes at the same time."*¹

– Christian Klein, Chief Executive, SAP²

*"SAP's increased focus on business AI marks the start of a completely new generation of enterprise innovation... and I'm honored to have the chance to help customers make the most of this unprecedented opportunity...to drive the development and delivery of relevant, reliable, responsible business AI that fundamentally changes the way business runs."*³

– Philipp Herzig, Chief Artificial Intelligence Officer (CAIO), SAP

SAP's Business intelligence (BI) had transitioned across a string of methodologies, processes, applications and technologies to extract meaningful inferences from basic data. The end result was informed decision making, operational efficiency, business agility and synchronisation with the evolving market. SAP's product BI aimed to enrich its customers/organisations with user friendly and valuable form of data which facilitated analysis and decision making. It also offered graphic user interface (GUI) configuring major functionalities to stay ahead of the competition. Significant AI technologies for businesses comprised Machine Learning (ML), Deep Learning (DL), Computer Vision and Natural Language Processing (NLP). SAP had structured a novel end-to-end growth area for managing the full value chain for SAP Business AI ranging from product development and research to customer implementation. The objective was to hasten flow of benefits to customers through groundbreaking business AI solutions and services. Further SAP's affiliations with Microsoft, Google Cloud and IBM supported state-of-the-art technology wherein SAP was already on the crest of AI wave. However, SAP's restructuring endeavour was a facet of its greater purpose to conform to the changing demands of digital economy. This reflected the company's practical shift to AI driven business areas in keeping with the emerging trends of the tech sector. Would SAP's restructuring venture continue to shape the global workforce in the digital ecosystem?

¹ "German software giant SAP plans restructuring to boost AI development", <https://news.yahoo.com/german-software-giant-sap-plans-161204288.html>, January 24th 2024

² It is one of the world's leading producers of software for the management of business processes.

³ "SAP Further Strengthens Focus on AI with Dedicated Growth Area", <https://news.sap.com/2024/02/sap-further-strengthens-ai-focus-dedicated-growth-area/>, February 15th 2024

"© 2024, Amity Research Centers HQ, Bangalore. All rights reserved."

SAP Business AI: An Insight

Business intelligence (BI) had transitioned with technological advancements and comprised a string of 'methodologies, processes, applications, and technologies' to derive meaningful/useful inferences from basic data. This gave vital in-depth knowledge to businesses about their company operations. Invariably, it facilitated informed decision making, operational efficiency, and business agility in sync with the evolving market. According to Gartner, "...more than 87% of businesses have low analytics and business intelligence maturity. Their efforts are often limited to spreadsheet-based analytics and stand-alone projects that lack central guidance or leadership. That's why having the right business intelligence tools are important."⁴ While conducting businesses, companies developed information about 'customers, suppliers and internal activities' which was utilised by multiple divisions namely 'HR, Finance, Accounting and Marketing for formulating their work strategies.'⁵

SAP was established in 1972 by five former IBM employees - Dietmar Hopp, Hasso Platter, Claus Wellenreuther, Klaus Tschira and Hans-Werner Hector. Their goal was to formulate - 'standard enterprise software for real-time business processing'. The SAP solutions were relevant for global businesses as its software/services facilitated diverse industries to become technologically enabled as per individual needs. The admixture of 'real-time data processing, standardisation and integration' formed the backbone of SAP's transformative growth - 'from a small German company into a global leader in business software'. SAP with its headquarters in Walldorf, Germany framed the global standard for enterprise resource planning (ERP) software.⁶

The company with a worldwide network of offices provided 'award winning enterprise resource planning application systems (SAP ERP)' along with 'SAP Business Warehouse (SAP BW), Reporting software SAP Business Objects software, Sybase mobile products' besides, modern 'in-memory computing appliance SAP HANA'.⁷ Meanwhile, Generative artificial intelligence (Gen AI) had introduced new dimensions, transforming the ways in which businesses operated wherein SAP was at the forefront of 'business AI revolution'. The company was distinguished by its unique reach of business data, comprehension of intricate business processes along with in-depth experience and industry capabilities.⁸

With a particular emphasis on AI, SAP had set-up a new division headed by Dr Philipp Herzig, Chief Artificial Intelligence Officer (CAIO), to integrate technology throughout its businesses. This division would control the 'entire value chain for SAP's Business AI' offerings ranging across 'product development and research through to customer implementation'.⁹ SAP's product BI aimed to furnish its 'customers/organisations' with user friendly and valuable form of data which facilitated analyses and decision-making (**Exhibit I**). Additionally, it provided Graphic User Interface (GUI) constituting major functionalities.¹⁰

⁴ "What is Business Intelligence and Why is it so Important?", <https://community.sap.com/t5/technology-blogs-by-sap/what-is-business-intelligence-and-why-is-it-so-important/ba-p/12832548>, February 18th 2021

⁵ Livingston Scott, "What is SAP BI? Introduction to Business Intelligence Module", <https://www.guru99.com/introduction-sap-bi.html>, February 17th 2024

⁶ "The History of SAP", <https://www.sap.com/india/about/company/history.html#>

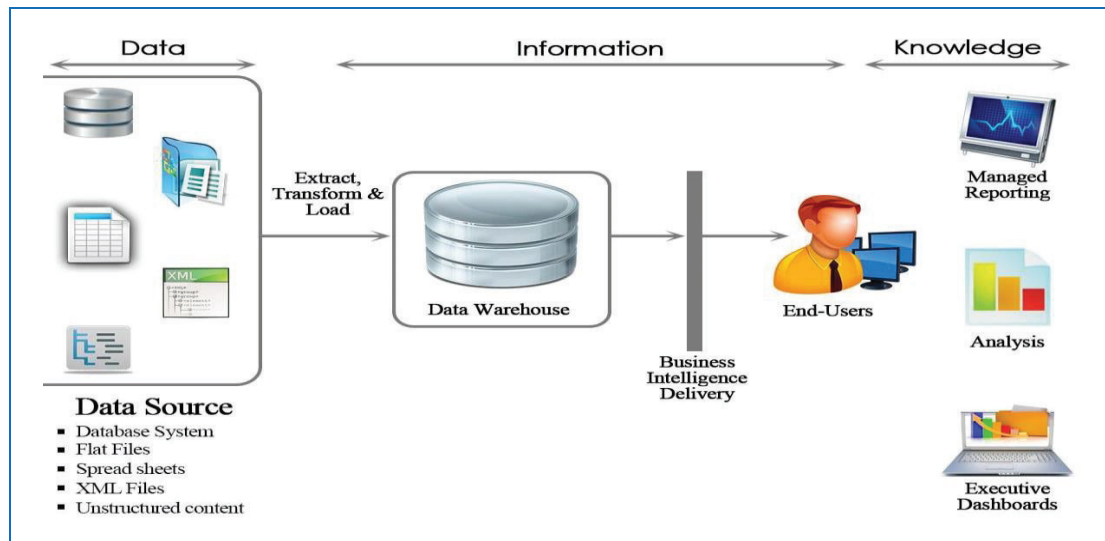
⁷ "Topics regarding layoffs at SAP", <https://www.thelayoff.com/sap-ag>

⁸ Saueressig Thomas, "Pioneering the Business AI Revolution", <https://news.sap.com/2023/09/sap-business-ai-joule/>, September 27th 2023

⁹ Jackson Amber, "SAP Seeks to Strengthen its AI and Expand Customer Solutions", <https://technologymagazine.com/ai-and-machine-learning/sap-seeks-to-strengthen-its-ai-and-expand-customer-solutions>, February 15th 2024

¹⁰ "What is SAP BI? Introduction to Business Intelligence Module", op.cit.

Exhibit I
Structure of SAP BI

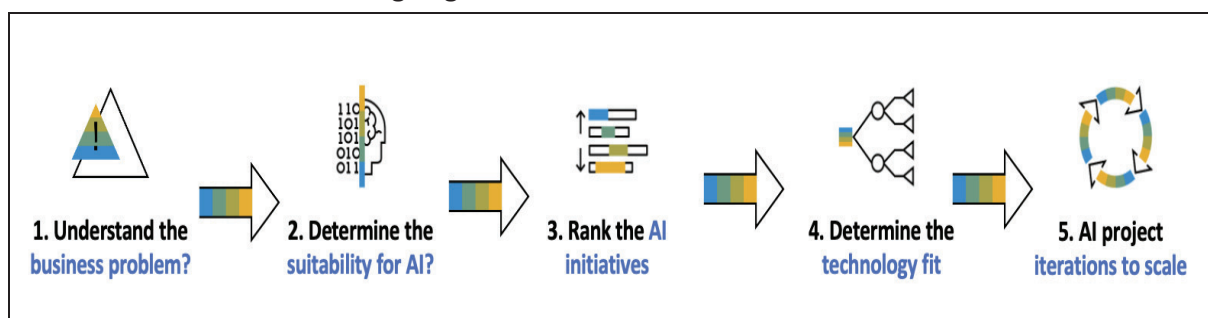


Source: Livingston Scott, "What is SAP BI? Introduction to Business Intelligence Module", <https://www.guru99.com/introduction-sap-bi.html>, February 17th 2024

SAP's Business AI

2023 was a landmark year for Artificial Intelligence particularly 'Generative AI and Large Language Models (LLM's)'. Generative AI centered on creation of new content with AI-generated content trained on 'text, images, audio and other data forms'. On the other hand, Business AI was an AI application which depended on precise and measurable data. Pertinent AI technologies for businesses covered - Machine Learning (ML), Deep learning (DL), and Computer vision, Edge AI in connected devices as well as Natural Language Processing (NLP)'. Business AI could upgrade the business environment through - 'streamlining and automating manual tasks, making processes more efficient, predicting future trends by processing and interpreting data across the value chain, providing insights by connecting and making sense of large data volumes and delivering personalised products and services for customers'.¹¹ (Exhibit II).

Exhibit II
Aligning AI with BI and Risk Reduction



Source: Oosthuizen Dr. Kim, "The time is now to take advantage of business AI", <https://community.sap.com/t5/technology-blogs-by-sap/the-time-is-now-to-take-advantage-of-business-ai/ba-p/13553650>, March 28th 2023

¹¹ Oosthuizen Dr. Kim, "The time is now to take advantage of business AI", <https://community.sap.com/t5/technology-blogs-by-sap/the-time-is-now-to-take-advantage-of-business-ai/ba-p/13553650>, March 28th 2023

Conventionally, BI which involved 'the analysis of data, calculation of metrics and compilation of reports was handled by 'data professional/team'. Moreover, this process had the complexities of 'inefficiencies, bottlenecking data and delaying decision making'. The advent of 'self-service BI' enabled any authorised person to 'directly access and analyse company-wide data'. An individual using self-service BI with intuitive interfaces could easily undertake common data jobs. Ultimately, BI software was vital for 'data visualisation, augmented analytics and connection'. Eventually, the insight derived by companies enhanced - 'understanding customer behaviours, optimising processes while budgeting, forecasting and analysing finances'.¹² Meanwhile, SAP Business Objects offered guidance for 'SMBs to large companies' and could be suitably adapted for a range of segments across 'government entities manufacturing and distribution, non-profits, financial services, etc.'¹³ (Exhibit III).

Exhibit III
BI Applications in Diverse Business Areas

S.#	Business Areas	Particulars
1	Marketing BI	Marketers could utilise business intelligence for analysing campaign results namely 'e-mail opening rates, click-through rates, and conversions on landing pages' and design future campaigns to improve effectiveness.
2	Financial Intelligence	The finance division could blend financial information and track cash flow, margins/revenues and expenses in real-time. Besides, monitoring profitability and making appropriate choices to raise the bottom line.
3	HR BI	SAP BI services could perform crucial evaluations such as attendance, time and productivity levels along with employee turnover/engagement. The HR could utilise BI data for making informed hiring decisions, assess training needs and refine employee schedules.

Source: Compiled by the Author - P Abhishek, "The 7 Pros of SAP Business Intelligence", <https://www.linkedin.com/pulse/7-pros-sap-business-intelligence-abhishek-pareek>, March 23rd 2022

SAP had structured a novel 'end-to-end growth area' for managing the full 'value chain for SAP Business AI' ranging from 'product development and research to customer implementation'. This unit was incorporated in January 2024 with Christian Klein as CEO and was primed for 'AI built for business with SAP'. The goal was collaboration with innovators throughout SAP for instilling AI within the company's portfolio. Furthermore, the purpose included hastening flow of benefits to customers through 'ground-breaking business AI solutions and services'. In effect, this unit served as the core of the 'business AI and a strategic driver for SAP's ongoing growth'. SAP's team had strong leaders like Walter Sun as global head (AI) who had opted out of Microsoft to join SAP in September 2023.¹⁴

Meanwhile, 'SAP BusinessObjects' had been popularly adopted as centralised BI tool to enrich organisations with the 'ability to perform reporting, create visualisations and generate real-time BI'. Besides, BusinessObjects was an 'on-premises BI layer' for SAP's Business Technology

¹² "What is Business Intelligence and Why is it so Important?", op.cit.

¹³ P Abhishek, "The 7 Pros of SAP Business Intelligence", <https://www.linkedin.com/pulse/7-pros-sap-business-intelligence-abhishek-pareek>, March 23rd 2022

¹⁴ "SAP Further Strengthens Focus on AI with Dedicated Growth Area", op.cit.

Platform (BTP) while SAP Analytics Cloud was other 'analytics related solution from SAP'. Invariably, besides these two tools there was a third BI tool - Pyramid Analytics accessible from SAP partners.¹⁵ **(Annexure I).**

The company highlighted, "SAP will further increase its focus on key strategic growth areas...in particular Business AI... intends to transform its operational setup to capture organisational synergies, AI-driven efficiencies and to prepare the company for highly scalable future revenue growth." Additionally, the company had introduced several 'cloud and AI innovations' inclusive of its Gen AI assistant Joule (a natural-language, generative AI co-pilot). SAP associated with tech companies seeking AI to steer growth. In 2023, an IBM report indicated "...about 42% of enterprise-scale organisations are actively using AI in their businesses, that AI adoption is set to increase further."¹⁶ SAP as Europe's leading software company was shifting 'its enterprise business to cloud subscriptions' from conventional licensing models. In May 2023, SAP partnered with Google's cloud computing unit enabling clients to conveniently integrate data from multiple sources and use AI for operational efficiency.¹⁷ Arguably, the evolution of Gen AI had been transformative, unlocking immense potential for expanding AI in business. SAP used its own foundational models to 'create powerful, context-specific outcomes' for customers to benefit from expansive SAP data along with better predictive outcomes. Moreover, for instant results, customers could also utilise Retrieval-Augmented Generation¹⁸ (RAG).¹⁹

SAP's Industry 4.0 Strategy

SAP offered a wide spectrum capsule for Industry 4.0 blending SAP solutions for 'design, manufacture, logistics and operations' **(Annexure II)**. To facilitate industry 4.0 capabilities, SAP proffered – 'SAP Enterprise Product Development and SAP Digital Manufacturing Cloud solutions as well as the SAP Asset Strategy and Performance Management and SAP Environmental Health and Safety apps. Additionally, SAP operated 'innovation hubs as regional innovation workspaces' ensconced to hasten the Industry 4.0 drive and adoption **(Exhibit IV)**. Such services stressed on crucial processes, integration, technology adoption, and scalability leading to pivotal business outcomes 'through real-time insights to drive critical decision-making, improved reliability, and automated processes'.²⁰

The genuine worth of Business AI was derived from the understanding of how AI could be used to solve precise business predicaments. This had been accomplished through integration of Gen AI into SAP Signavio Process Transformation Suite. SAP's association with Aleph Alpha GmbH, Anthropic PBC, and Cohere – 'all generative AI market leaders' had the capability to alter all industries aligned with SAP. Meanwhile, SAP's affiliations with Microsoft, Google Cloud, and IBM supported 'state-of-the-art technology' wherein it was already cruising on the AI wave.²¹

¹⁵ "SAP Business Intelligence", <https://sapinsider.org/topic/sap-analytics-ai/sap-business-intelligence/>

¹⁶ Law Marcus, "How SAP is Updating its Strategy to Focus on Business AI", <https://technologymagazine.com/articles/how-sap-is-updating-its-strategy-to-focus-on-business-ai>, January 25th 2024

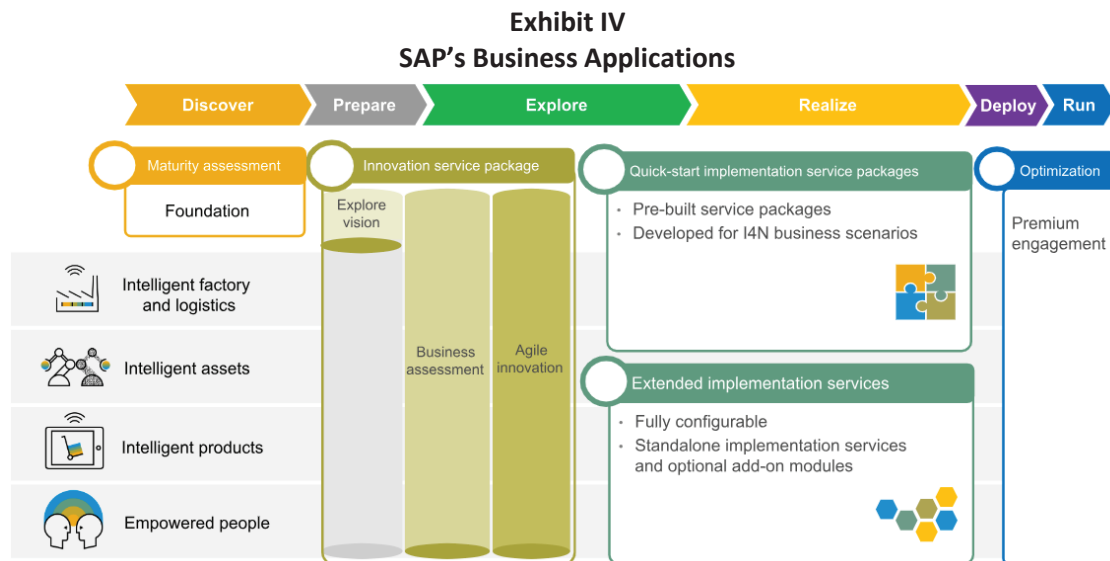
¹⁷ Pollack Andrew, "SAP unveils restructuring plan to trim costs, move to affect 8,000 jobs", https://www.business-standard.com/companies/news/sap-unveils-restructuring-plan-to-trim-costs-move-to-affect-8-000-jobs-124012400077_1.html, January 24th 2024

¹⁸ It was a technique for enhancing the accuracy and reliability of generative AI models with facts fetched from external sources.

¹⁹ "Pioneering the Business AI Revolution", op.cit.

²⁰ "The Digital Transformation of Manufacturing Companies - SAP's Strategy for Industry 4.0", <https://www.sap.com/india/products/scm/industry-4-0/industry-4-0-strategy.html>

²¹ "Pioneering the Business AI Revolution", op.cit.



Source: "The Digital Transformation of Manufacturing Companies - SAP's Strategy for Industry 4.0", <https://www.sap.com/india/products/scm/industry-4-0/industry-4-0-strategy.html>

Business AI was a tactical catalyst for SAP's sustained growth. Herzig said, "SAP's increased focus on business AI marks the start of a completely new generation of enterprise innovation...to help customers make the most of this unprecedented opportunity." He further added, "I look forward to working with our team, as well as our ecosystem of customers and partners, to drive the development and delivery of relevant, reliable, responsible business AI that fundamentally changes the way business runs." According to AI Magazine, "SAP has invested more than US\$1bn in AI-powered start-up companies via its investment arm, Sapphire Ventures." Meanwhile, the company had also launched a restructuring process aimed at focusing on 'high-growth areas' like AI.²²

Will SAP's Restructuring Push towards AI Redefine the Workforce?

The year 2023 witnessed massive layoffs by companies on account of demanding economic conditions accompanied by a trend of over hiring provoked by the COVID-19 pandemic. Moreover, prominent big tech companies were citing AI as the motivator for restructuring.²³ In January 2023, SAP announced its plan to reduce 3,000 jobs which was 2.5% of its workforce worldwide. Meanwhile, it considered trading its remaining stake in Qualtrics as it prioritised cost reduction and concentration on cloud business. Luka Mucic, Chief Financial Officer, SAP said, "We expect only a moderate cost saving impact for 2023, and a more pronounced one in 2024, about 300 million euros to 350 million in run rate savings as of 2024."²⁴

Meanwhile, SAP had launched BW/4HANA and SAP S/4HANA in association with 'data storage solution leader Seagate Technology'. The push was intended to upgrade Seagate's ERP system benefitting almost 30,000 global employees by incorporating advanced functionalities like 'enabling global manufacturing, supply chain and finance business processes'. During September 2023 SAP S/4HANA Cloud was acknowledged as a pioneer in the Gartner Magic

²² "SAP Seeks to Strengthen its AI and Expand Customer Solutions", op.cit.

²³ "How SAP is Updating its Strategy to Focus on Business AI", op.cit.

²⁴ "SAP announces 2 billion euro reconstruction plan affecting 8,000 roles, AI push", <https://www.livemint.com/companies/news/sap-announces-2-billion-euro-reconstruction-plan-affecting-8-000-roles-ai-push-11706057987355.html>, January 24th 2024

Quadrant for Cloud ERP for Service-Centric Enterprises for the second consecutive year. SAP S/4HANA Cloud was 'a complete, composable cloud enterprise resource planning (ERP) solution powered by AI and analytics'. Gartner in its report recognised, "SAP's strengths as its financial management product vision, its enablement of continuous improvement efforts, and its services for managing procurement, third-party resources, and assets."²⁵

Moreover, conjecturing a revenue uprise, SAP had planned to restructure its workforce to attain AI driven business growth areas. This was inclusive of upskilling 8,000 employees as well as job cuts. Leading companies Amazon and Google were also in the midst of extensive job cuts. Furthermore, in 2024, SAP had planned reformulating its operational system to absorb 'organisational synergies, AI-driven efficiencies' while orienting the company for achievable potential revenue growth. However, while executing an AI based comprehensive restructuring programme during 2024, the impacted positions would be covered by 'voluntary leave programmes and internal re-skilling strategies'.²⁶ SAP had initially estimated that the restructuring costs would be about €2 billion (\$2.17 billion).²⁷

Meanwhile, SAP was expanding the boundaries from providing 'reactive solutions to introducing proactive intelligence' in the business arena. However, it was pertinent that the company favoured responsible AI by inculcating 'ethical considerations and compliance into Joule's framework' demonstrating that 'business efficacy and ethical responsibility' could be simultaneously addressed. With the onset of 5G, SAP's strategy of deploying AI in their platforms could signal a phase of 'AI-enhanced connectivity'. Backed by SAP's strong performance and swift Gen AI development, Joule was strongly poised to redefine the concept of 'intelligent enterprise solutions'.²⁸ The company desired to engineer an organisational AI environment inclusive of 'direct investments and third-party partnerships'.²⁹

SAP had tested waters with AI much earlier by using OpenAI's ChatGPT, for availing the opportunity offered by emerging Gen AI technology. The company had announced its plans for amalgamating ChatGPT in its product range. Jürgen Molnar, Investment strategist, RoboMarkets³⁰ highlighted, "While some employees might face changes, HR policies are seen as less of a cost issue and more of a strategic imperative." He further added, "Restructuring is vital for preparing the company for the age of artificial intelligence, emphasizing the emergence of numerous new opportunities in the process."³¹

In the times of technological advancements centering on AI, the corporate world was being transformed. SAP Business AI was heading this revolution in the area of new product development wherein a collaboration with Siemens provided new dimensions. Technology being an intrinsic part of AI, it was no more 'an option for progressive businesses' but an essential prerequisite. Further the above merger enhanced 'operational efficiency, infused

²⁵ Law Marcus, "How SAP Accelerated Seagate Technology's Digital Evolution", <https://technologymagazine.com/articles/sap-accelerates-seagate-technologys-digital-evolution>, February 14th 2024

²⁶ Jackson Amber, "SAP Restructure to Prioritise AI Growth and Upskilling Staff", <https://aimagazine.com/ai-strategy/sap-restructure-to-prioritise-ai-growth-and-upskilling-staff>, January 25th 2024

²⁷ "How SAP is Updating its Strategy to Focus on Business AI", op.cit.

²⁸ Sinnott Harold, "How SAP is Laying the Groundwork for a Future Where AI and Business are Inseparable", https://www.linkedin.com/pulse/how-sap-laying-groundwork-future-where-ai-business-harold-sinnott-10qze?utm_source=rss&utm_campaign=articles_sitemaps, November 1st 2023

²⁹ "SAP Launches Restructuring Program to Capture 'AI-Driven Efficiencies'", <https://www.pymnts.com/artificial-intelligence-2/2024/sap-launches-restructuring-program-to-capture-ai-driven-efficiencies/#>, January 24th 2024

³⁰ It is an European brokerage company providing reliable access to multiple markets with competitive conditions.

³¹ "SAP Surges to Record High on AI-Centric Restructuring and Cloud Growth Forecast", <https://ciowomenmagazine.com/sap-surges-to-record-high/>

intelligent decision-making, and accelerated innovation'.³² In effect, SAP's restructuring was a facet of its greater desire for conforming to 'changing demands of the digital economy'. It was the company's practical shift towards AI-driven business areas in sync with changing trends of the tech sector.³³

SAP's restructuring plans hinged on AI with anticipated operating profit touching €10 billion in 2025. Further, by close of 2024, the number of employees would be reaching existing levels due to re-investments in new areas. Full-time company employees were 107,602 on December 31st 2023.³⁴ Capability development was vital for businesses focusing on innovation. For developing 'talent capabilities and empowering employee transformation', employees were not laid off but few would be 'offered voluntary redundancy' while others would be re-skilled. It was critical for company to 'ensure that SAP's skillset and resources continue to meet future business needs'.³⁵

Reasons/Impact of Restructuring

Invariably, when a leading software company undertook restructuring, it had global repercussions across 'industries and economies'. This shift would also impact a horde of SAP customers as a 'cloud-based delivery model with usage-based pricing' was put in place. The company envisaged AI investments as a part of the transformation, earmarking \$1.09 billion (£1 billion) for building of use cases in forthcoming two years (2025-2026).³⁶

There could be multiple and varied reasons for restructuring in the SAP landscape. Moreover, overcoming 'challenges, increasing dynamics of the globalised economy, swiftly changing business models, digitalisation, cooperation, integrating competences' made restructuring vital.³⁷ In an evolving digital arena, business continued to be affected by threat actors impacting business infrastructure underscoring the necessity of upskilling employees. According to a 2024, AWS report, "AI will only continue to shape the global business landscape in 2024, with 90% of workers anticipating that AI will be integrated into their daily working lives by 2028. However, this will only take place if employers prioritise recruiting highly-skilled talent, or via staff training programmes."³⁸

Benefits and Challenges

According to BizVibe.com's market share data (2018), "SAP is a significant player, accounting for more than 16.5% of the world market." The gamut of its BI products was expansive and featured products amenable to diverse business sizes. g2.com³⁹ reviews highlighted, "For the

³² Nguyen 'Thuc' Tucker, "Unleashing AI-powered Innovation with SAP Business AI and SAP Teamcenter by Siemens", <https://www.linkedin.com/pulse/unleashing-ai-powered-innovation-sap-business-ai-siemens-nguyen-homze>, March 26th 2024

³³ Anderson Zach, "SAP Announces 2 Billion Euro Restructuring Plan Affecting 8,000 Jobs", <https://blockchain.news/news/sap-announces-2-billion-euro-restructuring-plan-affecting-8-000-jobs>, January 25th 2024

³⁴ "SAP unveils restructuring plan to trim costs, move to affect 8,000 jobs", op.cit.

³⁵ Thompson Polly, "Rise of AI sparks big changes at SAP affecting about 8,000 jobs", <https://www.businessinsider.in/tech/news/rise-of-ai-sparks-big-changes-at-sap-affecting-about-8000-jobs/articleshow/107122335.cms>, January 24th 2024

³⁶ Ashare Matt, "What's behind SAP's massive restructuring push?", <https://www.ciodive.com/news/sap-saas-shift-cloud-first-transformation-restructuring/705793/>, January 26th 2024

³⁷ "SAP Restructuring is our daily business", <https://www.gambit.de/en/restructuring/>

³⁸ "SAP Restructure to Prioritise AI Growth and Upskilling Staff", op.cit.

³⁹ G2 is the world's largest tech marketplace where businesses can discover, review, and manage the technology they need to reach their potential.

most part, SAP is well-liked by more than 1000 employees of companies.”⁴⁰ **(Annexure III-A and III-B)**. Yet a major challenge for SAP BI was its costly licensing and general pricing. Another complexity was lack of a free trial for BusinessObjects although one could utilise the Analytics Cloud free trial to know what was available.⁴¹

Meanwhile, Liz Herbert, (Herbert) VP and Principal Analyst, Forrester,⁴² said, “Cloud is the big elephant in the room for SAP...Despite broad cloud adoption across the enterprise application suite, a lot of SAP’s customers haven’t prioritized ERP migration.” However, she further added, “It opens up this idea of continuous innovation, never having to worry about an upgrade, often having the best, most current capabilities in privacy and security and everything else...But ERP modernization isn’t cheap...Some enterprise customers are questioning whether now is the right time to spend what can be hundreds of millions or even billions of dollars...It’s disruptive, it’s expensive and it can be risky.” Moreover, Christian Hestermann, Senior Director Analyst, Gartner stated, “It’s been an ongoing transformation...Most of the line-of-business solution acquisitions the company has made over the past few years.” He further added, “As SAP moves to cloud SaaS, they must ramp up capacity on the cloud side while ramping down capacity for on-prem...That will require changes in workflows and workforce, leading to reassignment, reskilling and potential layoffs.”⁴³

There were several reasons which led to the prospective requirement of ‘re-architecting an SAP-centric landscape’. One cause could be strategic changes of corporate structure consequent to mergers and acquisitions (M&A). Purchase of a company could necessitate merging of systems (carve-in) while, the sale/spin-off needed ‘a system split (carve-out)’. Restructuring measures could also be inspired from within the organisation. Such an eventuality, presented an opportunity for reformulating ‘responsibilities, data structures, and processes’. The primary objective for SAP restructuring was to minimise complexities and unlock company resources. To attain this goal, business procedures had to be ‘standardised, data harmonised, and systems consolidated’. Consequently, a system restructuring project had to be managed both from business and technical/methodology standpoints.⁴⁴

SAP’s restructuring involved multiple complexities particularly due to IT integration which involved deadline pressures. There was also a challenge posed by ‘lack of historical data or the definition of a precisely defined migration date, such as the fiscal year change’. In-house developments/user exits historically developed could pose hurdles in SAP restructuring. Eventually, a series of tests had to be executed to confirm completeness and accuracy of data. However, there were opportunities as well in SAP restructuring – probability of IT cost reduction, aligning ‘systems, functions and data’ with existing and projected requirements. Furthermore, the prevalent ‘process landscapes, functions and reporting system’ could be harmonised and standardised across the company thereby decreasing ‘frictional losses, promoting global collaboration and enabling digitalisation’.⁴⁵

The declaration of corporate restructuring by SAP had ignited a debate wherein the European Works Council charged the company of using the program to disguise extensive layoffs. The company had reacted by stating that, “The program prioritizes strategic growth areas and aims

⁴⁰ “The 7 Pros of SAP Business Intelligence”, op.cit.

⁴¹ “The Good and The Bad of the SAP Business Intelligence Platform”, <https://www.altexsoft.com/blog/the-pros-and-cons-of-sap-bi/>, December 17th 2019

⁴² It is a research and advisory company offering a variety of services namely research, consulting, and events.

⁴³ “What’s behind SAP’s massive restructuring push?”, op.cit.

⁴⁴ “SAP Restructuring”, <https://www.natuvion.com/sap-restructuring/>

⁴⁵ “SAP Restructuring is our daily business”, op.cit.

to impact the positions with care and empathy, committing to notify affected employees in the coming weeks and complete its reorganization efforts by the end of Q1 2025.” Besides, the council censured SAP for ‘prioritising cost savings over employees’ value to which the SAP spokesperson underlined ‘the company’s commitment to executing the restructuring with care, offering internal alternatives and voluntary programs, and collaborating with social partners’. Such disparity could harm SAP’s reputation while reducing employee morale and productivity. Long lasting repercussions could be ‘damaged employee trust and retention issues’ and employees seeking legal avenues. Furthermore, the company’s stock performance might be negatively impacted consequent to SAP’s cost-saving priorities. In the immediate phase, ‘the company’s commitment to alternatives and collaboration with social partners’ might avoid criticism. Nonetheless in the long run, the bearing on ‘employee morale and market perception’ was indeterminate.⁴⁶

SAP had strategised to support businesses for operating as an ‘intelligent, sustainable’ entity. In 2024, its customers accounted for ‘87% of total global commerce’. Besides, the company also furnished people/ organisations with ‘deep business insight’ while fostering collaborations to gain competitive edge. With a worldwide network of ‘customers, partners, employees, and thought leaders’, SAP contributed towards a better world by ‘improving people’s lives’.⁴⁷ With its endeavours, SAP’s goal was to reinforce its status as a ‘major player in the enterprise software market, adapting to meet the future needs of the digital economy’.⁴⁸ Dominik Asam, Chief Financial Officer, SAP asserted “the company’s commitment to increasing profitability, even as it adjusted its medium-term outlook due to changes in accounting practices.”⁴⁹ The company had envisaged that its operating profit would touch nearly ‘10 billion euros (\$10.9 billion) by 2025’ consequent to the restructuring manoeuvre.⁵⁰ Would SAP’s bold endeavours to restructure Business AI be successful?

⁴⁶ Jensen Lars, “SAP’s Controversial Restructuring Plan Sparks Backlash”, <https://www.ctol.digital/news/saps-controversial-restructuring-plan-sparks-backlash/>, April 11th 2024

⁴⁷ “SAP Updates Its Ambition 2025 and Announces Transformation Program for 2024”, <https://news.sap.com/2024/01/sap-updates-its-ambition-2025-and-announces-transformation-program-for-2024/>, January 23rd 2024

⁴⁸ “SAP Announces 2 Billion Euro Restructuring Plan Affecting 8,000 Jobs”, op.cit.

⁴⁹ “SAP Surges to Record High on AI-Centric Restructuring and Cloud Growth Forecast”, op.cit.

⁵⁰ “Rise of AI sparks big changes at SAP affecting about 8,000 jobs”, op.cit.

Annexure I
SAP's Journey to the Cloud

S.#	Aspects	Particulars
1	Building a foundational analytics culture	SAP envisaged that analytics future lay in the form of SAP Analytics Cloud (SAC) wherein BI tools namely BusinessObjects opened opportunity to refine 'data-driven organisational culture. The success rested on analytics tools which had capability to assimilate, absorb and leverage day-to-day decision making.
2	Documenting BI tools in action	A significant way to depict the value BI tools was to document use cases created by business users which could be shared throughout the organisation for promoting the reach of the tool. Besides, this underlined the culture of data-driven way for business operations. Examples of BusinessObjects use cases were available on leading platforms like SAPinsider and SAP blogs.
3	Understanding the transition to cloud map	Undoubtedly, SAP BusinessObjects Enterprise had accumulated a huge user base. However, with the evolution of need for business intelligence, SAP created a new Software-as-a-Service (SaaS) product in SAP Analytics Cloud.

Source: Compiled by the Author from - "SAP Business Intelligence",
<https://sapinsider.org/topic/sap-analytics-ai/sap-business-intelligence/>

Annexure II
SAP's Industry 4.0 Strategy

S.#	Facets	Particulars
1	Enabled digitalisation from factory-focused initiatives to company-wide competitive business strategy combining manufacturing automation with business execution.	SAP was distinctively placed to connect horizontal business processes throughout a company, coordinating sales, engineering, maintenance, service alongwith logistics with manufacturing to business transformation.
2	Converted raw data into improved business process automation and actionable insights.	SAP's forte and ability was entrenched in wealth of contextualised machine, sensor, and device data (IoT data) within business processes throughout the value chain using AI. This leveraged productivity and agility in industrial environments.
3	Facilitated standardisation of business processes.	With a single standardised operational process globally, eliminated non-value adds operations thereby shifting production across facilities flexibly. The energetic ecosystem of partners/leading institutions (Industry 4.0.) motivated by SAP generated essential holistic support.

Source: Compiled by the Author from - "The Digital Transformation of Manufacturing Companies - SAP's Strategy for Industry 4.0", <https://www.sap.com/india/products/scm/industry-4-0/industry-4-0-strategy.html>

Annexure IIIA
Benefits of Using SAP BI Services

S.#	Advantages	Particulars
1	Seamless Graphical User Interface	SAP Business Intelligence offered several valuable tools with an easy-to-use uncomplicated user interface. Additionally, it facilitated users on-boarding from one online interface.
2	Self-Service Tools Availability for Wider User Audience	Generally, tasks were performed through the BI developer, ETL developers, or even an IT department, SAP BI offered numerous self-service tools (BusinessObjects Lumira, BusinessObjects). They provided tools for less experienced users for processing information.
3	Data Source Integrations	SAP app development afforded integration through a pair of data storage systems (SAP HANA and Data Warehouse). Besides, it supported services like Apache Hadoop, Hive, and Hbase.
4	Full Range of Business Intelligence-Related Products	SAP had all the required technical elements to use an information platform and report tools. Each product had multiple choices – it could be deployed on a company server or in the cloud. All users could use an interface which restricted their access to data required for work completion.
5	Sharing Functions and Microsoft Office Compatibility	Most of the reporting and dash boarding tools on SAP Analytics solutions were equipped with sharing capabilities. It's also feasible to download the data to Excel and Spreadsheets documents for sharing throughout organisation in sync with the conventional method. For meeting the data security concerns, rules could be set and permissions could be routed through the database SQL permissions/data management tools.
6	SAP HANA Real-Time Database and Performance	The HANA database in the SAP BI products offered real-time access to data ensuring fast processing of voluminous data in short response times. Besides, it was compatible with various databases management systems simplifying data integration.
7	Flexibility	SAP's BI products were mostly cloud-based with simpler integration and use. Yet, SAP services offered deployment options for almost all products. According to preferences it was possible to avail flexibility of equipment use, maintenance, deployment and management of systems.

Source: Compiled by the Author from - P Abhishek, "The 7 Pros of SAP Business Intelligence", <https://www.linkedin.com/pulse/7-pros-sap-business-intelligence-abhishek-pareek>, March 23rd 2022

Annexure IIIB
Challenges of SAP's Business Intelligence

S.#	Complexities	Particulars
1	Poor customer support and platform administration	Numerous users on trustradius.com had experienced inadequate customer support/management of the platform. SAP responded by setting up an enhanced customer success team with Lumira and BusinessObjects. However, this was not the case with platform management.
2	Platform heterogeneity	SAP was known for acquisitioning many companies which had resulted in most of the BI products. However, subsequent to acquisitions, the integration of the new products was apparently not smooth.
3	Reporting performance and quality	Although many users found SAP BusinessObjects to be efficacious, there were some disagreements which needed addressal. Particularly there were issues regarding report delays/disappearance.
4	Server shut down due to heavy loads	This complexity appeared often in user reviews across TrustRadius. The key issue was servers shutting down during heavy workloads.

Source: Compiled by the Author from - "The Good and The Bad of the SAP Business Intelligence Platform", <https://www.altexsoft.com/blog/the-pros-and-cons-of-sap-bi/>, December 17th 2019